197 FERC ¶ 61,026
UNITED STATES OF AMERICA
FEDERAL ENERGY REGULATORY COMMISSION

Before Commissioners: Laura V. Swett, Chairman;
David Rosner, Lindsay S. See,
Judy W. Chang, and David LaCerte.

PJM Interconnection, L.L.C. Docket No. ER24-2045-005

ORDER ACCEPTING COMPLIANCE FILING IN PART AND DIRECTING FURTHER COMPLIANCE

(Issued October 15, 2026)

1. On June 15, 2026, PJM Interconnection, L.L.C. (PJM) submitted proposed revisions to its Open Access Transmission Tariff (Tariff) in compliance with the requirements of Order Nos. 2023 and 2023-A[1] and the Commission's order on compliance issued on April 16, 2026 (Third Compliance Filing).[2] As discussed below, we find that PJM's Third Compliance Filing partially complies with the requirements of Order Nos. 2023 and 2023-A and with the Commission's directives in the Second Compliance Order. Accordingly, we accept in part and reject in part PJM's Third Compliance Filing, to become effective as of the commencement date of the next Cycle,[3] and direct PJM to submit further compliance filings.

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[1] *Improvements to Generator Interconnection Procs. & Agreements*, Order No. 2023, 184 FERC ¶ 61,054, *order on reh'g*, 185 FERC ¶ 61,063 (2023), *order on reh'g*, Order No. 2023-A, 186 FERC ¶ 61,199, *errata notice*, 188 FERC ¶ 61,134 (2024), *aff'd sub nom. Advanced Energy United v. FERC*, 185 F.4th 186 (D.C. Cir. 2026).

[2] *PJM Interconnection, L.L.C.*, 195 FERC ¶ 61,031 (2026) (Second Compliance Order).

[3] PJM refers to its first-ready, first-served cluster study process as a "Cycle." PJM's Tariff defines a Cycle as "that period of time between the start of an Application phase and conclusion of the corresponding Final Agreement Negotiation Phase. The Cycle consists of the Application Phase, Phase I, Decision Point I, Phase II, Decision Point II, Phase III, Decision Point III, and the Final Agreement Negotiation Phase." PJM Interconnection, L.L.C., Intra-PJM Tariffs, pt. VIII, subpt. A, § 400C (Definitions C) (1.0.0) (PJM Tariff).

I. Background

2. Order Nos. 2023 and 2023-A amended the Commission's *pro forma* Large Generator Interconnection Procedures (LGIP), *pro forma* Large Generator Interconnection Agreement (LGIA), *pro forma* Small Generator Interconnection Procedures (SGIP), and *pro forma* Small Generator Interconnection Agreement (SGIA).[4] Order No. 2023 requires all public utility transmission providers to adopt revised *pro forma* LGIPs, *pro forma* LGIAs, *pro forma* SGIPs, and *pro forma* SGIAs. These revisions ensure that interconnection customers are able to interconnect to the transmission system in a reliable, efficient, transparent, and timely manner, and will prevent undue discrimination.[5] In Order No. 2023, the Commission adopted a comprehensive package of reforms in three general categories: (1) reforms to implement a first-ready, first-served cluster study process; (2) reforms to increase the speed of interconnection queue processing; and (3) reforms to incorporate technological advancements into the interconnection process.

3. On May 16, 2024, and October 29, 2024, in Docket Nos. ER24-2045-000 and ER24-2045-002, PJM submitted its compliance filing and response to Commission staff's data request in compliance with Order Nos. 2023 and 2023-A (together, Initial Compliance Filing). In the First Compliance Order, the Commission found that PJM's Initial Compliance Filing partially complied with the requirements of Order Nos. 2023 and 2023-A and directed PJM to submit a further compliance filing within 60 days of the issuance of the First Compliance Order.[6]

4. On October 23, 2025, PJM submitted proposed revisions to its Tariff in compliance with Order Nos. 2023 and 2023-A and the First Compliance Order (Second Compliance Filing). In the Second Compliance Order, the Commission found that PJM's Second Compliance Filing partially complied with the requirements of Order Nos. 2023 and 2023-A and with the Commission's directives in the First Compliance Order. Accordingly, the Commission accepted in part and rejected in part PJM's Second

[4] The *pro forma* LGIP and *pro forma* LGIA establish the terms and conditions under which public utilities that own, control, or operate facilities for transmitting energy in interstate commerce must provide interconnection service to generating facilities larger than 20 MW. The *pro forma* SGIP and *pro forma* SGIA establish the terms and conditions under which public utilities that own, control, or operate facilities for transmitting energy in interstate commerce must provide interconnection service to generating facilities no larger than 20 MW. Order No. 2023, 184 FERC ¶ 61,054 at P 2.

[5] Order No. 2023, 184 FERC ¶ 61,054 at P 1.

[6] *PJM Interconnection, L.L.C.*, 192 FERC ¶ 61,077, at P 1 (2025) (First Compliance Order).

Compliance Filing and directed PJM to submit further compliance filings.[7] Specifically, the Commission directed revisions to PJM's Tariff to comply with the following requirements of Order Nos. 2023 and 2023-A: cluster study process, allocation of cluster network upgrade costs, site control, elimination of reasonable efforts, affected system study process and modeling requirements, affected system *pro forma* agreements, co-located generating facilities, operating assumptions for interconnection customers, incorporating the enumerated alternative transmission technologies, and modeling and ride-through requirements.[8]

II. Third Compliance Filing

5. PJM states that it proposes Tariff revisions in this Third Compliance Filing to address the directives in the Second Compliance Order, provide further justifications for certain requested independent entity variations, and withdraw several of its previously requested independent entity variations.[9]

III. Notice of Filing and Responsive Pleadings

6. Notice of PJM's Third Compliance Filing was published in the *Federal Register,* 91 Fed. Reg 36824 (Jun. 18, 2026), with interventions and protests due on or before July 6, 2026. None was filed.

IV. Discussion

7. As discussed below, we find that PJM's Third Compliance Filing partially complies with the directives in the Second Compliance Order and the requirements of Order Nos. 2023 and 2023-A. Accordingly, we accept in part and reject in part PJM's Third Compliance Filing, to become effective as of the commencement date of next Cycle (i.e., Cycle No. 3), and direct PJM to submit further compliance filings.[10]

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[7] Second Compliance Order, 195 FERC ¶ 61,031 at P 1.

[8] *Id.* PP 39, 69, 70, 72-73, 98-100, 132, 135-140, 143-145, 159, 170, 182, 191.

[9] Third Compliance Filing at 2.

[10] We reiterate that PJM must make a further compliance filing in this docket no more than 120 days and no less than 60 days before the proposed effective date, as PJM proposes to do. Specifically, PJM is required to make a further compliance filing in this docket through the Commission's eTariff system with the accepted tariff record text that establishes the actual effective date of the Tariff records as the date of the commencement of the next Cycle after the issuance of this order and designates

8. As an initial matter, we find that PJM has complied with directive in the Second Compliance Order regarding the requirement for ride-through capability and performance for non-synchronous generating facilities.[11] Specifically, PJM proposes to adopt, without modification, the following provisions of the Commission's *pro forma* LGIA and *pro forma* SGIA: the requirement in *pro forma* LGIA article 9.7.3 and *pro forma* SGIA article 1.5.7 for ride-through capability and performance for non-synchronous generating facilities.[12]

9. We now turn to PJM's proposed variations from the Commission's *pro forma* LGIP and *pro forma* LGIA.

A. Proposed Variations

10. As discussed further below, PJM has proposed certain variations from the Commission's requirements in Order Nos. 2023 and 2023-A. The Commission explained in Order No. 2023 that such variations would be reviewed under the same standard allowed by Order Nos. 2003, 2006, and 845.[13] In Order No. 2003, when adopting the *pro forma* LGIP and *pro forma* LGIA, the Commission permitted Regional Transmission Organizations/Independent System Operators (RTO/ISO) to seek "independent entity variations" for pricing and non-pricing provisions, and stated that RTOs/ISOs "shall have greater flexibility to customize [their] interconnection procedures and agreement to

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the records accepted in this order as OBE (overtaken by events). *See* Second Compliance Order, 195 FERC ¶ 61,031 at P 210.

[11] Second Compliance Order, 195 FERC ¶ 61,031 at P 202.

[12] *See* PJM Tariff, pt. IX, subpt. B, GIA Schedule H (1.1.0).

[13] Order No. 2023, 184 FERC ¶ 61,054 at P 1764 (citing *Standardization of Generator Interconnection Agreements & Procs.*, Order No. 2003, 104 FERC ¶ 61,103, at P 826 (2003), *order on reh'g*, Order No. 2003-A, 106 FERC ¶ 61,220, *order on reh'g*, Order No. 2003-B, 109 FERC ¶ 61,287 (2004), *order on reh'g*, Order No. 2003-C, 111 FERC ¶ 61,401 (2005), *aff'd sub nom. Nat'l Ass'n of Regul. Util. Comm'rs v. FERC*, 475 F.3d 1277 (D.C. Cir. 2007); *Standardization of Small Generator Interconnection Agreements & Procs*., Order No. 2006, 111 FERC ¶ 61,220, at PP 447, 549, *order on reh'g*, Order No. 2006-A, 113 FERC ¶ 61,195 (2005), *order granting clarification*, Order No. 2006-B, 116 FERC ¶ 61,046 (2006); *see Reform of Generator Interconnection Procs. & Agreements*, Order No. 845, 163 FERC ¶ 61,043, at P 556 (2018), *order on reh'g*, Order No. 845-A, 166 FERC ¶ 61,137, *order on reh'g*, Order No. 845-B, 168 FERC ¶ 61,092 (2019)).

fit regional needs."[14] The Commission stated that this approach recognizes that an RTO/ISO is less likely to act in an unduly discriminatory manner than a transmission provider that is a market participant.[15] The Commission has granted independent entity variations from interconnection-related rulemakings where the RTO/ISO demonstrates that the proposed variation: (1) is just and reasonable and not unduly discriminatory or preferential; and (2) accomplishes the purposes of the order.[16] It is not a sufficient justification to state that a variation conforms to current RTO/ISO practices or to the RTO's/ISO's tariff definitions and terminology.[17] Even if the transmission provider is an RTO/ISO, it must still justify its variations in light of the Commission's *pro forma* LGIP and/or *pro forma* LGIA and/or *pro forma* SGIP and/or *pro forma* SGIA.[18] We evaluate PJM's proposed variations from the requirements of Order Nos. 2023 and 2023-A accordingly.

B. Cluster Study Process: Commercial Operation Date Extension

11. In Order No. 2023, the Commission revised the *pro forma* LGIP and *pro forma* LGIA to require transmission providers to study interconnection requests in clusters. Regarding a commercial operation date extension, the Commission revised section 4.4.5 of the *pro forma* LGIP to require that an interconnection customer receive an extension of fewer than three cumulative years of the generating facility's commercial operation date without requiring it to request such an extension from the transmission provider.[19] Specifically, the Commission clarified that (1) the commercial operation date reflected in the initial interconnection request shall be used in calculating the permissible fewer than three-year extension until the interconnection customer executes, or requests the unexecuted filing of, an LGIA, but (2) once the interconnection customer has executed

[14] Order No. 2003, 104 FERC ¶ 61,103 at P 826.

[15] *Id.* P 827.

[16] *See, e.g.*, *ISO New Eng. Inc.*, 164 FERC ¶ 61,222, at P 9 (2018) (citing Order No. 2003, 104 FERC ¶ 61,103 at PP 26, 827; *Midcontinent Indep. Sys. Operator, Inc.*, 154 FERC ¶ 61,247, at P 20 (2016); *Cal. Indep. Sys. Operator Corp.*, 140 FERC ¶ 61,070, at P 44 (2012)).

[17] *See Cal. Indep. Sys. Operator Corp.*, 170 FERC ¶ 61,112, at P 11 (2020); *Sw. Power Pool, Inc.*, 170 FERC ¶ 61,042, at P 14 (2020); *ISO New Eng. Inc.*, 170 FERC ¶ 61,209, at P 14 (2020); *Midcontinent Indep. Sys. Operator, Inc.*, 169 FERC ¶ 61,221, at P 18 (2019); *PJM Interconnection, L.L.C.*, 169 FERC ¶ 61,226, at P 15 (2019).

[18] *See PJM Interconnection, L.L.C.*, 108 FERC ¶ 61,025, at P 16 (2004).

[19] Order No. 2023, 184 FERC ¶ 61,054 at P 293; *see also pro forma* LGIP § 4.4.5.

an LGIA or requested that the LGIA be filed unexecuted, the commercial operation date established in the LGIA shall be the date from which the up to three cumulative years is calculated.

1. Second Compliance Order

12. In the Second Compliance Order, the Commission directed PJM to submit a further compliance filing to clarify how PJM proposes to comply with the requirement in section 4.4.5 of the *pro forma* LGIP for the commercial operation date in the initial interconnection request to be used in calculating the permissible extension of the commercial operation date until the interconnection customer executes, or requests the unexecuted filing of, an LGIA, or justify its proposal under the independent entity variation standard.[20]

2. Third Compliance Filing

13. PJM proposes revisions to Tariff section 403(A)(1)(o) to specify that the commercial operation date in the Generation Interconnection Request is used in calculating the permissible extension of the commercial operation date before the interconnection customer executes, or requests unexecuted filing of, the GIA.[21]

3. Commission Determination

14. We find that PJM's proposed revisions to Tariff section 403(A)(1)(o) related to a commercial operation date extension comply with the requirements of Order Nos. 2023 and 2023-A and the Commission's directive in the Second Compliance Order. Specifically, PJM has complied with the requirement in section 4.4.5 of the *pro forma* LGIP for the commercial operation date in the initial interconnection request to be used in calculating the permissible extension of the commercial operation date until the interconnection customer executes, or requests the unexecuted filing of, an LGIA by revising Tariff section 403(A)(1)(o) to specify that the commercial operation date in the Generation Interconnection Request is used in calculating the permissible extension of the commercial operation date before the interconnection customer executes, or requests unexecuted filing of, the GIA.

[20] Second Compliance Order, 195 FERC ¶ 61,031 at P 39.

[21] Third Compliance Filing at 3-5; *see also* PJM Tariff, pt. VIII, subpt. B, § 403 (2.1.0), § 403(A)(1)(o).

C. Allocation of Cluster Network Upgrade Costs

15. In Order No. 2023, the Commission required transmission providers to allocate system network upgrade[22] costs based on a proportional impact method.[23] Specifically, the Commission added *pro forma* LGIP section 4.2.1 (Cost Allocation for Interconnection Facilities and Network Upgrades) to require a transmission provider to: (1) allocate the costs of network upgrades located at substations equally among each generating facility interconnecting to the same substation (i.e., on a per capita basis); and (2) direct the transmission provider on compliance to provide tariff provisions that describe, for each type of system network upgrade that a transmission provider would identify in the cluster study process, how the costs of each system network upgrade type will be allocated among the interconnection customers within the cluster.[24] The Commission added to the *pro forma* LGIP and *pro forma* LGIA definitions for "proportional impact method," "substation network upgrades," and "system network upgrades" and modified the existing definition of "stand alone network upgrades."[25] The Commission required the transmission provider's revisions on compliance to provide that costs for a discrete network upgrade identified in the cluster study process are allocated to only the interconnection customers in the cluster that are shown through technical analyses to contribute to the need for that discrete network upgrade.[26] The Commission also required transmission providers to allocate the costs of interconnection facilities (i.e., both the interconnection customer's interconnection facilities and transmission provider's interconnection facilities) on a per capita basis. The Commission further provided that interconnection customers may agree to share interconnection facilities, that the per capita cost allocation will apply only where interconnection customers agree to share interconnection facilities, and that interconnection customers may choose a different cost

[22] The *pro forma* LGIP defines system network upgrades as "Network Upgrades that are required beyond the substation located at the Point of Interconnection." *Pro forma* LGIP § 1.

[23] The *pro forma* LGIP defines proportional impact method as "a technical analysis conducted by Transmission Provider to determine the degree to which each Generating Facility in the Cluster Study contributes to the need for a specific System Network Upgrade." *Id.*

[24] Order No. 2023, 184 FERC ¶ 61,054 at PP 453, 461; *see also pro forma* LGIP § 4.2.1.

[25] Order No. 2023, 184 FERC ¶ 61,054 at PP 458, 460; *see also pro forma* LGIP § 1; *see also pro forma* LGIA art. 1.

[26] Order No. 2023, 184 FERC ¶ 61,054 at P 461.

sharing arrangement upon mutual agreement.[27] Finally, the Commission revised Appendix A (Interconnection Facilities, Network Upgrades and Distribution Upgrades) of the *pro forma* LGIA to include substation network upgrades and system network upgrades.[28]

1. Second Compliance Order

16. In the Second Compliance Order, the Commission directed PJM to adopt the *pro forma* LGIA and *pro forma* LGIP definition for "system network upgrades" or justify its proposal under the independent entity variation standard.[29] The Commission also directed PJM to provide Tariff revisions that describe, for each discrete type of system network upgrade PJM would identify in the cluster study process, how the costs of each system network upgrade type will be allocated among the interconnection customers within the cluster that are shown through technical analyses to contribute to the need for that discrete network upgrade.[30]

17. The Commission directed PJM to adopt the *pro forma* LGIP cost allocation method for substation network upgrades or justify its proposal under the independent entity variation standard.[31] The Commission also directed PJM to explain how PJM proposes to comply with the requirement in Order Nos. 2023 and 2023-A to include substation network upgrades and system network upgrades through Appendix A of the *pro forma* LGIA or justify its proposal under the independent entity variation standard.[32]

2. Third Compliance Filing

18. PJM proposes revisions to its Tariff definition of "system network upgrade" in Tariff section 400 to include the phrase "beyond the substation located at the Point of Interconnection."[33] PJM states that this revised definition distinguishes "system network

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[27] *Id.* P 454.

[28] *Pro forma* LGIA app. A.

[29] Second Compliance Order, 195 FERC ¶ 61,031 at P 69.

[30] *Id.* P 70.

[31] *Id.* P 72.

[32] *Id.* P 73.

[33] Third Compliance Filing at 7. *See also* PJM Tariff, pt. VIII, subpt. A, § 400S (Definitions S) (4.1.0).

upgrades" from "substation network upgrades" as required by Orders No. 2023 and 2023-A.

19. PJM also proposes revisions to Tariff section 404(A)(5)(d) that describe the proportional impact method for system network upgrades. Specifically, PJM proposes Tariff revisions to describe cost allocation based on the proportional impact method for thermal and non-thermal categories of system network upgrades. PJM proposes that thermal system network upgrade costs will be allocated "per the pro rata share of MW impact of Cycle projects on the constraints being alleviated by the System Network Upgrade, as further described in the PJM Manual 14H," and non-thermal system network upgrade costs will be allocated "per the pro rata share of impact of Cycle projects on the constraints being alleviated by the System Network Upgrade, as further described in PJM Manual 14H."[34]

20. PJM proposes additional revisions to its Tariff section 404(A)(5)(d) to provide more detail on how PJM allocates the costs of substation network upgrades.[35] The proposed Tariff language provides that the costs of substation network upgrades, including all switching stations, "shall be allocated first per capita to Interconnection Facilities interconnecting to the substation at the same voltage level, and then per capita to each New Service Request sharing the Interconnection Facilities."[36]

21. PJM adds to its Tariff section 404(A)(6) to set forth that the cost allocation of interconnection facilities "where interconnection customers agree to share interconnection facilities shall be allocated based on the number of generating facilities sharing use of such interconnection facilities on a per capita basis."[37]

22. PJM proposes to include in its *pro forma* GIA and its *pro forma* Wholesale Market Participation Agreement (WMPA) provisions to separately specify system network upgrades and substation network upgrades.[38] PJM requests that the Commission accept the PJM-specific modification to include the various types of network upgrades through a

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[34] PJM Tariff, pt. VIII, subpt. C, § 404 (2.1.0), § 404(A)(5)(d)(ii).

[35] Third Compliance Filing at 7; PJM Tariff, pt. VIII, subpt. C, § 404 (2.1.0), § 404(A)(5)(d).

[36] *Id.*

[37] Third Compliance Filing at 7; PJM Tariff, pt. VIII, subpt. C, § 404 (2.1.0), § 404(A)(6).

[38] Third Compliance Filing at 6; PJM Tariff, pt. IX, subpt. B, GIA Specs (3.1.0); *id.* subpt. C, WMPA Schedules A-F (1.1.0).

table in the Specifications portion of its *pro forma* GIA and Schedule D of its *pro forma* WMPA rather than through Appendix A to the *pro forma* LGIA.[39] PJM argues that this table serves the same function as Appendix A to the *pro forma* LGIA, and is a just and reasonable, not unduly discriminatory means of accomplishing the objectives of the final rule with respect to identification of the various types of network upgrades in the *pro forma* LGIA.

3. Commission Determination

23. We find that PJM's proposal regarding allocation of cluster network upgrade costs partially complies with the requirements of Order Nos. 2023 and 2023-A and the directives in the Second Compliance Order. As discussed below, we accept in part PJM's proposed Tariff revisions regarding allocation of cluster network upgrade costs and direct further compliance.

24. First, we find that PJM's proposed revision in Tariff section 400 to specify in the definition of "system network upgrades" that such upgrades are located "beyond the substation located at the Point of Interconnection" complies with the Commission's directive in the Second Compliance Order and accomplishes the purposes of Order Nos. 2023 and 2023-A to distinguish substation network upgrades from system network upgrades.[40]

25. Next, we find that PJM complies with the Commission's directive to provide Tariff revisions that describe, for each discrete type of system network upgrade PJM would identify in the cluster study process, how the costs of each system network upgrade type will be allocated among the interconnection customers within the cluster that are shown through technical analyses to contribute to the need for that discrete network upgrade. We find that PJM's proposed revisions in Tariff section 404 providing that PJM shall allocate the costs of thermal system network upgrades based on the pro rata share of MW impact of Cycle projects and the costs of non-thermal upgrades based on the pro rata share of impact of the Cycle projects as set forth in PJM Manual 14H complies with the Commission's directive in the Second Compliance Order. At present, PJM Manual 14H appears to be inconsistent with PJM's proposed Tariff allocation for non-thermal upgrades based on their pro rata share of impact, because Manual 14H describes that PJM allocates the costs of stability upgrades pro rata based on a generating facility's maximum facility output relative to the rest of the cluster and short circuit

[39] Third Compliance Filing at 8.

[40] Second Compliance Order, 195 FERC ¶ 61,031 at P 69; *see also* Order No. 2023, 184 FERC ¶ 61,054 at P 458.

upgrades pro rata based on current (kVA) impact.[41] We note that to the extent that there is inconsistency between the Tariff and Manual 14H, the Tariff is the governing document and has precedence over the latter.[42]

26. We find that PJM's proposed revisions to Tariff section 404(A)(5)(d) comply with the Commission's directive in the Second Compliance Order to adopt the *pro forma* LGIP cost allocation method for substation network upgrades.[43] Specifically, PJM's proposed Tariff language adopts the *pro forma* LGIP language without modification.[44]

27. We find that PJM's proposed additions to Tariff section 404(A)(6) are not consistent with the *pro forma* LGIP cost allocation method for interconnection facilities where interconnection customers agree to share interconnection facilities.[45] PJM proposes to revise Tariff section 404(A)(6) to specify that the cost allocation of interconnection facilities "where interconnection customers agree to share interconnection facilities shall be allocated based on the number of generating facilities sharing use of such interconnection facilities on a per capita basis."[46] However, PJM's proposed revisions do not reflect the requirement in the *pro forma* LGIP that such cost allocation will be "on a per Generating Facility basis… *unless Parties mutually agree to a different cost sharing arrangement*."[47] PJM fails to justify this proposed deviation from the *pro forma* LGIP. Accordingly, we direct PJM to submit a further compliance filing within 60 days of the date of this order adopting the *pro forma* LGIP cost allocation

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[41] PJM Interconnection, L.L.C., *PJM Manual 14H: PJM Generation and Transmission Interconnection Cost Allocation Methodologies*, attach. B § B.3.5 (effective Sep. 25, 2025), https://pjm.com/-/media/DotCom/documents/manuals/m14h.pdf (PJM Manual 14H).

[42] *See Midwest Indep. Transmission Sys. Operator, Inc.*, 117 FERC ¶ 61,113, at P 47 (2006) ("the filed and accepted tariff is the governing document and not the Business Practice Manuals - the former has precedence over the latter and not the other way around").

[43] Second Compliance Order, 195 FERC ¶ 61,031 at P 72.

[44] PJM Tariff, pt. VIII, subpt. C, § 404 (2.1.0), § 404(A)(5)(d).

[45] Second Compliance Order, 195 FERC ¶ 61,031 at P 72; *see also* Order No. 2023-A, 186 FERC ¶ 61,199 at PP 177-178; *see also pro forma* LGIP § 4.2.1.1.a.

[46] Third Compliance Filing at 7; PJM Tariff, pt. VIII, subpt. C, § 404 (2.1.0), § 404(A)(6).

[47] *See pro forma* LGIP § 4.2.1.2 (emphasis added).

method for interconnection facilities where interconnection customers agree to share interconnection facilities or justify its proposal under the independent entity standard.

28. We grant PJM's request for an independent entity variation regarding its proposed inclusion of various types of network upgrades in the Specifications portion of its *pro forma* GIA and Schedule D to its *pro forma* WMPA. We find that PJM has demonstrated that its proposal accomplishes the purposes of Orders No. 2023 and 2023-A to include different types of network upgrades (namely, substation network upgrades and system network upgrades) in the transmission provider's *pro forma* LGIA.[48]

D. Elimination of Reasonable Efforts and Study Delay Penalties

29. In Order No. 2023, the Commission revised sections 2.2 (Comparability), 3.5.4, 7.4, 8.3 (Interconnection Facilities Study Procedures), and Attachment A to Appendix 3 (formerly Appendix 4) of the *pro forma* LGIP to eliminate the reasonable efforts standard for conducting cluster studies, cluster restudies, facilities studies, and affected system studies by the tariff-specified deadlines.[49] The Commission added new section 3.9 (Penalties for Failure to Meet Study Deadlines) to the *pro forma* LGIP to implement a structure of study delay penalties.[50] The Commission also specified that the study delay penalty regime contains the following safeguards for transmission providers: no study delay penalties will be assessed until the third cluster study cycle (including any transitional cluster study cycle, but not transitional serial studies) after the Commission-approved effective date of the transmission provider's filing in compliance with Order No. 2023.[51]

1. Second Compliance Order

30. In the Second Compliance Order, the Commission directed PJM to remove from its Tariff section 403(B)(3) providing that the application review phase would extend for either 90 days "or the amount of time it takes to complete all Application review

[48] First Compliance Order, 192 FERC ¶ 61,077 at P 131 (citing *pro forma* LGIA app. A).

[49] Order No. 2023, 184 FERC ¶ 61,054 at P 962; *see also pro forma* LGIP §§ 2.2, 3.5.4, 7.4, 8.3; *pro forma* LGIP, app. 3, attach. A.

[50] Order No. 2023, 184 FERC ¶ 61,054 at P 962; *see also pro forma* LGIP § 3.9.

[51] Order No. 2023, 184 FERC ¶ 61,054 at P 972; *see pro forma* LGIP § 3.9(6).

activities for the relevant Cycle, whichever is greater," or justify its proposal under the independent entity variation standard.[52]

31. The Commission accepted PJM's proposed Tariff sections 438(B), 438(C), 438(D), and 438(F) as consistent with *pro forma* LGIP sections 3.9(2), 3.9(3), 3.9(4), and 3.9(6), respectively.[53] However, the Commission directed PJM to remove the proposed Tariff provisions in Tariff section 438(E) that allow PJM to unilaterally extend study timelines. Additionally, the Commission directed PJM to submit a further compliance filing that removes the proposed Tariff provisions in Tariff section 438(H) to pay study delay penalties from the non-refundable portion of the study deposits collected from interconnection customers, which the Commission found to be outside the scope of Order Nos. 2023 and 2023-A.[54]

2. Third Compliance Filing

32. PJM proposes revisions to Tariff section 403(B)(3) to remove the phrase "or the amount of time it takes to complete all Application review activities for the relevant Cycle, whichever is greater," so that the Application review phase extends only for 90 days.[55] PJM also proposes revisions to its Tariff to incorporate the *pro forma* LGIP's study delay penalty provisions, including removal of its previous language in Tariff section 438(E) allowing PJM to unilaterally extend study deadlines up to 30 days and inclusions of the mutual agreement language in *pro forma* LGIP section 3.9.[56] PJM also proposes to remove previously proposed Tariff section 438(F), which set out that the penalty regime under section 438 would not be implemented until the start of studies for the third Cycle following the Commission approved effective date of PJM's filing made in compliance with the requirements of Order Nos. 2023 and 2023-A.[57]

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[52] Second Compliance Order, 195 FERC ¶ 61,031 at P 98.

[53] *Id.* P 99.

[54] *Id.* P 100.

[55] Third Compliance Filing at 9.

[56] *Id.* at 9-10. *See* PJM Tariff, pt. VIII, subpt. K, § 438 (0.1.0).

[57] Third Compliance Filing at 10, n.34. *See also* PJM Tariff, pt. VIII, subpt. K, § 438(F) (0.0.0).

33. PJM's proposed revisions also remove the proposed language in Tariff section 438(H) permitting it to pay any study delay penalties it incurs from the non-refundable portion of the study deposits collected from project developers.[58]

3. Commission Determination

34. We find that PJM's proposed revisions regarding the elimination of reasonable efforts and study delay penalties partially comply with the Commission's directives in the Second Compliance Order. Specifically, we accept PJM's proposed Tariff revisions to remove: (1) the phrase "or the amount of time it takes to complete all Application review activities for the relevant cycle, whichever is greater," from Tariff section 403(B)(3);[59] (2) the previously proposed language in Tariff section 438(E) that would allow PJM to unilaterally extend study deadlines up to 30 days;[60] and (3) proposed Tariff provisions in section 438(H) that permit it to pay any study delay penalties it incurs from the non-refundable portion of the study deposits collected from interconnection customers.[61] Further, we find that PJM's proposed Tariff section 438(E) complies with the requirements of Order Nos. 2023 and 2023-A and the directives in the Second Compliance Order because PJM's proposed Tariff revisions remove the previously proposed revisions allowing PJM to unilaterally extend study deadlines and adopt language from *pro forma* LGIP sections 3.9(5). We also find that PJM's proposal to remove Tariff section 438(H) complies with the directive in the Second Compliance Order to remove the out-of-scope provision.

35. However, we reject PJM's proposed Tariff revisions that remove Tariff section 438(F). The Commission did not direct the removal of section 438(F) in its Second Compliance Order. Accordingly, we direct PJM to submit a further compliance filing within 60 days of the date of this order to reinstate the provisions in Tariff section 438(F).

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[58] *Id*. at 10. *See also* PJM Tariff, pt. VIII, subpt. K § 438 (0.1.0), § 438(E). PJM also proposes to remove Tariff section 438(F), which provided a separate effective date for section 438.

[59] Second Compliance Order, 195 FERC ¶ 61,031 at P 98.

[60] *Id.* P 99.

[61] *Id*. P 100.

E. Affected System Study Process and Modeling Requirements

36. In Order No. 2023, the Commission adopted an affected system study process and added several related definitions to the *pro forma* LGIP.[62]

37. The Commission adopted section 9.2 (Response to Initial Notification) of the *pro forma* LGIP, which requires the affected system transmission provider to respond to notification of a potential affected system impact in writing within 20 business days, indicating whether it intends to conduct an affected system study.[63] Section 9.2 also requires that, within 15 business days of the affected system transmission provider's affirmative response of its intent to conduct an affected system study, the affected system transmission provider must share a non-binding good faith estimate of the cost and schedule to complete the affected system study.

38. The Commission next adopted section 9.4 (Affected System Study Agreement/Multiparty Affected System Study Agreement) of the *pro forma* LGIP to require that the transmission provider tender the affected system study agreement within 10 business days of sharing the schedule for the study with the affected system interconnection customers.[64] Section 9.4 also requires the affected system interconnection customer to compensate the affected system transmission provider for the actual costs of the affected system study, and the difference between the affected system study deposit and actual cost of the affected system study will be detailed in an invoice and paid by or refunded to the affected system interconnection customer within 30 calendar days of the receipt of such invoice.[65] An affected system interconnection customer's failure to pay the difference between these amounts will result in loss of that affected system interconnection customer's affected system queue position. Section 9.4 also requires that the affected system transmission provider notify the host transmission provider of the affected system interconnection customer's breach of its obligations under this section, should such breach occur.[66]

39. The Commission next adopted section 9.5 (Execution of Affected System Study Agreement/Multiparty Affected System Study Agreement) of the *pro forma* LGIP, which

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[62] Order No. 2023, 184 FERC ¶ 61,054 at PP 1110, 1112; *see also pro forma* LGIP § 1.

[63] Order No. 2023, 184 FERC ¶ 61,054 at P 1120; *see also pro forma* LGIP § 9.2.

[64] Order No. 2023, 184 FERC ¶ 61,054 at P 1154; *see also pro forma* LGIP § 9.4.

[65] Order No. 2023, 184 FERC ¶ 61,054 at P 1157.

[66] *Id.* P 1159.

provides the affected system interconnection customer with 10 business days from the date of receipt of the affected system study agreement to execute and deliver it to the affected system transmission provider.[67] Section 9.5 also provides that, if the affected system interconnection customer does not provide all required technical data when it delivers the affected system study agreement, the affected system transmission provider shall notify the affected system interconnection customer of the deficiency within five business days of the receipt of the affected system study agreement, and the affected system interconnection customer has 10 business days to cure the deficiency after receipt of such notice (provided that the deficiency does not include failure to deliver the executed affected system study agreement or deposit).

40. The Commission next adopted section 9.6 (Scope of Affected System Study) of the *pro forma* LGIP, which requires the affected system study to consider the base case as well as all higher-queued generating facilities on the affected system transmission provider's transmission system and to consist of a power flow, stability, and short circuit analysis.[68] Section 9.6 also requires the affected system study to provide a list of affected system network upgrades that are required because of the affected system interconnection customer's proposed interconnection, a non-binding good faith estimate of cost responsibility, and a non-binding good faith estimated time to construct. The affected system study may consist of a system impact study, a facilities study, or some combination thereof.

41. The Commission next adopted section 9.7 (Affected System Study Procedures) of the *pro forma* LGIP, which requires clustering of affected system interconnection customers for study purposes where multiple interconnection requests that are part of a single cluster in the host system's cluster study process cause the need for an affected system study.[69] Section 9.7 also requires the affected system transmission provider to complete the affected system study and provide the affected system interconnection customer with affected system study results within 150 calendar days after receipt of the affected system study agreement. Section 9.7 also requires the affected system transmission provider to provide the affected system study report to the host transmission provider at the same time it provides the report to the affected system interconnection customer. The affected system transmission provider must notify the affected system interconnection customer that an affected system study will be late.[70] Lastly, *pro forma* LGIP section 9.7 requires affected system transmission providers to study all affected

[67] *Id.* P 1158; *see also pro forma* LGIP § 9.5.

[68] Order No. 2023, 184 FERC ¶ 61,054 at P 1160; *see also pro forma* LGIP § 9.6.

[69] Order No. 2023, 184 FERC ¶ 61,054 at P 1133; *see also pro forma* LGIP § 9.7.

[70] Order No. 2023, 184 FERC ¶ 61,054 at P 1135.

system interconnection requests using Energy Resource Interconnection Service (ERIS)[71] modeling standards.[72]

42. The Commission added a new section 11.2.1 (Delay in LGIA Execution, or Filing Unexecuted, to Await Affected System Study Report) to the *pro forma* LGIP.[73] Under this section, if the interconnection customer does not receive its affected system study results before the deadline in its host system for LGIA execution, or the deadline to request that the LGIA be filed unexecuted, the host transmission provider must, at the interconnection customer's request, delay the deadline for the interconnection customer to finalize its LGIA. The interconnection customer will have 30 calendar days after receipt of the affected system study report to execute the LGIA, or request that the LGIA be filed unexecuted. Additionally, if the interconnection customer prefers to proceed to the execution of its LGIA, or request that the LGIA be filed unexecuted, before it has received its affected system study results, it may notify the host transmission provider of its intent to proceed with the execution of the LGIA, or request that the LGIA be filed unexecuted.[74] If the host transmission provider determines that further delay to the LGIA execution date would cause a material impact on the cost or timing of an equal- or lower-queued interconnection customer, the transmission provider must notify the relevant interconnection customer of such impact and establish that the new deadline is 30 calendar days after such notice is provided.

43. The Commission adopted section 9.8 (Meeting with Transmission Provider) of the *pro forma* LGIP, which requires the affected system transmission provider and the affected system interconnection customer to meet within 10 business days of the affected system transmission provider tendering the affected system study report to the affected system interconnection customer.[75]

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[71] ERIS is an interconnection service that allows the interconnection customer to connect its generating facility to the transmission provider's transmission system to be eligible to deliver the generating facility's electric output using the existing firm or non-firm capacity of the transmission provider's transmission system on an as available basis. ERIS in and of itself does not convey transmission service. *Pro forma* LGIP § 1.

[72] Order No. 2023, 184 FERC ¶ 61,054 at P 1276.

[73] *Id.* P 1123; *see also pro forma* LGIP § 11.2.1.

[74] Order No. 2023, 184 FERC ¶ 61,054 at P 1124.

[75] *Id.* P 1169; *see also pro forma* LGIP § 9.8.

1. Second Compliance Order

44. In the Second Compliance Order, the Commission directed PJM to submit a further compliance filing to either adopt the definitions in section 1 of the *pro forma* LGIP related to the affected system reforms or justify its affected system-related terms and their associated definitions in PJM Tariff section 400 under the independent entity variation standard.[76]

45. The Commission also rejected several of PJM's unexplained independent entity variations and directed PJM to justify its proposal under the independent entity variation standard or adopt the affected system provisions of the *pro forma* LGIP. First, the Commission found that PJM had not explained how its omission in Tariff section 434(B)(2) of the requirement to provide a non-binding good faith estimate of the cost and schedule to complete the affected system study accomplishes the purposes of Order Nos. 2023 and 2023-A.[77]

46. Second, the Commission found that PJM's provision in Tariff section 434(A)(3) did not explain how relying on the conclusion of another phase in PJM's Cycle process accomplishes the purposes of Order Nos. 2023 and 2023-A.[78]

47. Third, the Commission found that PJM did not explain how the lack of a deficiency cure period for affected system interconnection customers in Tariff sections 434(B)(3)(a), 434(B)(7), and 434(B)(7)(a), or PJM's shorter timeframe for an affected system customer to pay affected system impact study costs, accomplishes the purposes of Order Nos. 2023 and 2023-A.[79]

48. Fourth, the Commission found that PJM did not explain how its proposed provision in Tariff section 434(B)(5)(a) providing that PJM will commence affected system studies "[w]hen all relevant Affected System Interconnection Customers have

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[76] Second Compliance Order, 195 FERC ¶ 61,031 at PP 117 n.229, 132, 160. PJM had proposed the following terms: "affected system customer facilities study application and agreement," "affected system customer impact study agreement," "affected system facilities study," "affected system facilities study deposit," "affected system facilities study report," "affected system impact study," "affected system impact study deposit," "affected system impact study report," "affected system network upgrades," and "affected system queue position."

[77] *Id*. P 135.

[78] *Id*. P 136.

[79] *Id*. P 137.

executed an Affected System Customer Impact Study Agreement, provided the associated deposit, and provided all the required technical data" accomplishes the purposes of Order Nos. 2023 and 2023-A.[80]

49. Fifth, the Commission found that PJM did not explain how its proposal in Tariff section 434(B)(5) to reference the PJM Manuals for study parameter details accomplishes the purposes of Order Nos. 2023 and 2023-A.[81]

50. Sixth, the Commission found that PJM did not explain how its proposal in Tariff section 434(B)(7) to establish a separate, 120-calendar-day timeframe for the affected system facilities study accomplishes the purposes of Order Nos. 2023 and 2023-A.[82]

51. Seventh, the Commission found that PJM did not explain how its proposed Tariff provisions in sections 434(B)(5)(c), 434(B)(5)(d), and 434(B)(7)(b) stating that PJM will complete the affected system studies after PJM has received "required deposits from all Affected System Customers in the cluster" accomplishes the purposes of Order Nos. 2023 and 2023-A.[83]

52. Eighth, the Commission found that PJM's proposed Tariff sections 403(C)(1) and 403(C)(2) did not include language reflecting the Order Nos. 2023 and 2023-A requirement that the transmission provider meet with the affected system interconnection customer to discuss the results of the affected system study and PJM did not explain how the omission accomplishes the purposes of Order No. 2023 and 2023-A.[84]

53. Finally, the Commission found that PJM did not explain how the omission of *pro forma* LGIP section 11.2.1 (Delay in LGIA Execution, or Filing Unexecuted, to Await Affected System Study Report) accomplishes the purposes of Order Nos. 2023 and 2023-A.[85]

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[80] *Id*. P 138.

[81] *Id*. P 139.

[82] *Id*. P 140.

[83] *Id.* P 143.

[84] *Id*. P 144.

[85] *Id*. P 145.

2. Third Compliance Filing

54. In response to the Commission's directive to adopt the definitions in section 1 of the *pro forma* LGIP related to the affected system reforms or justify its affected system-related terms and their associated definitions under the independent entity variation standard,[86] PJM provides justifications for its proposed terms and definitions.[87] PJM asserts that the affected systems terms and definitions PJM uses in its Tariff are substantively similar to the final rule's terms and definitions and that where PJM's nomenclature varies from the terms used in the *pro forma* LGIP, those variations are just and reasonable and not unduly discriminatory and are consistent with the objectives of the final rule.[88]

55. For the *pro forma* LGIP term "affected system network upgrades," PJM proposes that its definition "shall mean the Network Upgrades that are needed on Transmission Provider's Transmission System as a result of an Affected System Facility."[89] PJM states that its proposed definition of "affected system network upgrades" uses PJM's term "network upgrades" to encompass the "additions, modifications, and upgrades" referenced in the final rule's definition.[90]

56. For the *pro forma* LGIP term "affected system study," PJM proposes two terms: "affected system facilities study" and "affected system impact study." PJM proposes that the term "affected system facilities study" "shall mean the study performed to determine the scope, cost and time schedule to complete any required Network Upgrades to transmission facilities on Transmission Provider's Transmission System." PJM proposes that the term "affected system impact study" "shall mean the study performed to determine if an Affected System Facility has any impact which may require Network Upgrades on Transmission Provider's Transmission System." PJM states that, taken together, PJM's more granular definitions comprise the totality of the final rule's definition.[91]

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[86] *Id*. PP 117 n.229, 132, 160.

[87] Third Compliance Filing at 11.

[88] *Id*. at 11.

[89] PJM Tariff, pt. VIII, subpt. A, § 400A (Definitions A) (3.0.0).

[90] *Id.*

[91] *Id.*

57. For the *pro forma* LGIP term "affected system study report," PJM proposes two terms: "affected system impact study report" and "affected system facilities study report." PJM proposes that the term "affected system impact study report" "shall mean a report summarizing the impacts of an Affected System Facility on transmission facilities on Transmission Provider's Transmission System and any required Network Upgrades." PJM proposes that the term "affected system facilities study report" "shall mean a report summarizing the scope, cost and schedule for any required Network Upgrades to transmission facilities on Transmission Provider's Transmission System." PJM explains that the "affected system impact study report" and "affected system facilities study report" are the reports issued following the completion of an Affected System Impact Study or affected system facilities study, as applicable.

58. For the *pro forma* LGIP term "affected system queue position," PJM proposes that the term "affected system queue position" "shall mean the priority in which the Affected System Customer's project is studied relative to Transmission Provider's New Service Requests."[92]

59. For the *pro forma* LGIP term "affected system study agreement," PJM proposes two terms: "affected system customer facilities study application and agreement" and "affected system customer impact study agreement." PJM proposes that the term "affected system customer facilities study application and agreement" "shall mean the agreement set forth in Tariff, Part IX, Subpart L, Affected System Customer Facilities Study Application and Agreement." PJM proposes that the term "affected system customer impact study agreement" "shall mean the agreement set forth in Tariff, Part IX, Subpart O, Affected System Customer Facilities Study Application and Agreement. PJM argues that the "affected system customer facilities study application and agreement" and "the affected system customer impact study agreement," as applicable, satisfy the *pro forma* LGIP definition of "affected system study agreement."[93]

60. In response to the Commission's directive to explain its omission in Tariff section 434(B)(2) of the requirement to provide a non-binding good faith estimate of the cost and schedule to complete the affected system impact study or adopt the *pro forma* LGIP provisions,[94] PJM proposes to revise Tariff section 434(B)(2) to provide that, "Transmission Provider estimates that the Affected System Impact Study will require approximately 120 days after Transmission Provider receives all Affected System Customer's technical information and will cost approximately $30,000." PJM argues the Commission should find that this information provides affected system customers and the

[92] *Id*.

[93] *Id.*

[94] Second Compliance Order, 195 FERC ¶ 61,031 at P 135.

affected system customers' host transmission providers a non-binding good faith estimate of the cost and schedule to complete the affected system impact study and, therefore, the Commission should grant PJM's independent entity variation request. PJM adds that the proposed Tariff revision represents a just and reasonable and not unduly discriminatory change to accommodate the volume of affected system impact studies PJM handles while still providing information to affected system customers, and thus is consistent with the objectives of the final rule.[95] PJM explains that based on PJM's decades of experience performing affected system impact studies, estimates of costs and schedules tend not to change over time and that these estimates in the Tariff also eliminate potential concerns about cost variations and study length on a project-by-project basis.[96]

61. In response to the Commission's directive to justify relying on the conclusion of another phase in PJM's Cycle process or adopt the *pro forma* LGIP provisions,[97] PJM proposes to revise Tariff section 434(A)(3) to rely on Decision Point II for PJM's interconnection customers that are required to enter into a affected system study agreement with an affected system operator to demonstrate that it "continues to meet the requirements of the affected system operator's process, including, but not limited to providing evidence of a fully executed affected systems study agreement and acceptance of any required technical data and study deposits from the affected system operator no later than the conclusion of Decision Point II of the relevant Cycle." PJM explains that based on its experience with the Cycle process and its neighbors' adoption of affected system study processes compliant with Order No. 2023, PJM believes that this requirement should remain tied to the end of a decision point but that the relevant decision point is at the end of Decision Point II. PJM explains that while it had originally proposed to tie this requirement to Decision Point I, recent experience has shown that putting this requirement later in the Cycle process allows affected system operators, interconnection customers, and PJM the time needed to enter into the affected system study process and provide actionable data while maintaining the integrity of the Cycle process.[98] PJM explains that requiring interconnection customers in the Cycle process to enter into affected system agreements with affected system operators prior to the end of Decision Point II will ensure that all projects under study in the Cycle process, including

[95] Third Compliance Filing at 12.

[96] *Id.*, Affidavit of Lisa Krizenoskas ¶¶ 17-18 (Krizenoskas Aff.).

[97] Second Compliance Order, 195 FERC ¶ 61,031 at P 136.

[98] Krizenoskas Aff. ¶ 16.

those owned by affected system customers, are meeting all their requirements in advance.[99]

62. In response to the Commission's directive to justify its lack of a cure period or adopt the *pro forma* LGIP provisions,[100] PJM proposes new language in Tariff section 434(B)(3)(b) to adopt a deficiency cure process that PJM asserts is very similar to the process in section 9.5 of the *pro forma* LGIP and in the PJM Cycle application process. PJM requests an independent entity variation to provide PJM with 15 business days to provide the initial notice of deficiency and that the affected system customer shall cure the technical deficiency within 10 business days.[101] PJM argues this timing is necessary to reflect the volume of affected system studies PJM undertakes and also aligns with the deficiency notice timing in the Cycle process.[102]

63. In response to the Commission's directive to explain its proposed Tariff provision in section 434(B)(5)(a) providing that PJM will commence affected system studies "[w]hen all relevant Affected System Interconnection Customers have executed an Affected System Customer Impact Study Agreement, provided the associated deposit, and provided all the required technical data" or adopt the *pro forma* LGIP provisions[103] and to the Commission's directive to explain its proposed Tariff provisions in sections 434(B)(5)(c), 434(B)(5)(d), and 434(B)(7)(b) stating that PJM will complete the affected system studies after PJM has received "required deposits from all Affected System Customers in the cluster" or adopt the *pro forma* LGIP provisions,[104] PJM provides further justification for its requested independent entity variation and also proposes additional revisions in Tariff section 434(B)(3)(b) to provide a definitive timeline, pursuant to the deficiency cure process established within the same Tariff section (i.e., PJM with 15 business days to provide the initial notice of deficiency and affected system customer shall cure the technical deficiency within 10 business days) within the affected system process when all inputs, deposits, and agreements are in place to allow PJM to

[99] *Id.*

[100] Second Compliance Order, 195 FERC ¶ 61,031 at P 137.

[101] PJM Tariff, pt. VIII, subpt. G, § 434 (4.1.0), § 434(B)(3)(b).

[102] Third Compliance Filing at 14.

[103] Second Compliance Order, 195 FERC ¶ 61,031 at P 138.

[104] *Id.* P 143.

move forward with studying the affected system study cluster.[105] PJM asserts that it is most efficient for PJM to perform one study for all members of an affected system study cluster and start that work when all the required information has been received. PJM asserts that the Commission should find that the new section 434(B)(3)(b) provides clarity as to the application deficiency review timing between PJM and the affected system customer(s) and establishes a definitive point at which PJM will commence study activities, while also recognizing the volume of studies that PJM encounters. Accordingly, PJM states, this variation from the *pro forma* LGIP is just and reasonable and not unduly discriminatory and satisfies the objectives of Order Nos. 2023 and 2023-A by providing transparency and certainty and making the affected system study process more efficient.

64. In response to the Commission's directive to explain its proposal in Tariff section 434(B)(5) to reference the PJM Manuals for study parameter details,[106] PJM proposes to remove from Tariff section 434(B)(5)(a) the reference to the PJM Manuals and withdraws its request for an independent entity variation to reference the PJM Manuals for study parameter details as unnecessary.[107]

65. In response to the Commission's directive to explain its proposal in Tariff section 434(B)(7) to establish a separate, 120-calendar-day timeframe for the affected system facilities study or adopt the *pro forma* LGIP provisions,[108] PJM proposes a separate, 180-day affected system facilities study period. PJM states that retaining the two-part affected system study process – 120 days for the affected system impact study followed by 180 days for the affected system facilities study – will allow PJM to expedite projects that do not cause any network impacts and provides a more appropriate, transparent, and nondiscriminatory framework than a single, combined 150-day study period.[109] PJM notes that it relied on its extensive experience in conducting affected system studies and if PJM were required to shorten the affected system study or limit the study to only the system impact component, then it will not be able to provide the same level of information to affected system customers it provides to interconnection customers in the

[105] Third Compliance Filing at 15; *see also* PJM Tariff, pt. VIII, subpt. G, § 434 (4.1.0), § 434(B)(3)(b).

[106] Second Compliance Order, 195 FERC ¶ 61,031 at P 139.

[107] Third Compliance Filing at 16.

[108] Second Compliance Order, 195 FERC ¶ 61,031 at P 140.

[109] Krizenoskas Aff. ¶ 10.

Cycle.[110] PJM asserts that, for the same reasons that the Commission provided PJM an independent entity variation to continue using its longer, three-phase Cycle process timelines (i.e., to accommodate the volume of Interconnection Requests PJM must process), the Commission should also permit PJM to have a separate, 180-day period for the affected system facilities study.[111] PJM states that until further automation and technology advancements can be implemented to significantly reduce the time needed to conduct both the affected system impact study and the affected system facilities study, PJM's proposal ensures that the scope and cost estimates for any required network upgrades are sufficiently developed.[112] PJM states that for projects that do trigger affected system impacts, the subsequent 180-day affected system facilities study period is necessary to ensure that transmission owners have sufficient time to develop accurate and reliable scope, cost, and schedule estimates that directly inform the interconnection customer's decision-making.[113]

66. PJM also proposes that the affected system impact study deposit is an amount that is refundable and non-binding, and that actual study costs may exceed the deposit amount of $30,000. The affected system customer is responsible for, and must pay, actual study costs. The affected system impact study deposit is due to the transmission provider within 10 business days of the receipt of the affected system customer impact study agreement which must be executed.[114] Relatedly, PJM proposes that the affected system facilities study deposit is an amount that is refundable and non-binding, and that actual study costs may exceed the deposit amount of $100,000. The affected system customer is responsible for, and must pay, actual study costs. The affected system facilities study deposit is due to the transmission provider within 15 business days of the receipt of the Affected System Customer Facilities Study Application and Agreement, which must be executed.[115]

67. In response to the Commission's directive to explain its proposal to omit in Tariff sections 403(C)(1) and 403(C)(2) the requirement that the transmission provider meet with the affected system interconnection customer to discuss the results of the affected

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[110] Third Compliance Filing at 16.

[111] Third Compliance Filing at 16-17.

[112] *Id.*, Krizenoskas Aff. ¶ 9.

[113] *Id.* ¶ 11.

[114] PJM Tariff, pt. VIII, subpt. G, § 434 (4.1.0), § 434(B)(3).

[115] *Id.* §§ 434(B)(7), 434(B)(7)(a).

system study or adopt the *pro forma* LGIP provisions,[116] PJM requests an independent entity variation from the *pro forma* LGIP's requirement.[117] PJM states that given the volume of affected system studies that PJM undertakes, a requirement to meet with each individual affected systems customer would be administratively burdensome and would delay the processing of other studies.[118] PJM explains that it provides affected system customers as well as PJM's interconnection customers substantial process information through monthly Interconnection Process Subcommittee meetings, the PJM Manuals, and the "frequently asked question" pages of PJM's website. PJM states that when deemed more effective and efficient, PJM holds meetings with affected system customers.[119] PJM also explains that PJM's current Cycle process does not include this requirement for Cycle projects and that including it here for affected system studies would create different treatment between PJM's interconnection customers and external affected system customers.[120]

68. In response to the Commission's directive to explain its proposal to omit the requirement in Tariff section 11.2.1 of the *pro forma* LGIP allowing a delay in LGIA execution, or filing unexecuted, to await affected system study report,[121] PJM requests an independent entity variation to forgo adopting this requirement.[122] PJM explains that it processes all final agreements together, so that if one project is delayed, all projects are delayed. PJM states that a delay at this late stage of the process would impede and could drastically slow down PJM's Cycle process, which may upend interconnection customers' expectations as to when they will have final, effective agreements.[123] PJM argues that such an outcome would be contrary to Order No. 2023's purpose of making generation interconnection faster and more efficient.[124]

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[116] Second Compliance Order, 195 FERC ¶ 61,031 at P 144.

[117] Third Compliance Filing at 17.

[118] *Id.* at 17-18.

[119] *Id.* at 18; *see also* Krizenoskas Aff. ¶ 19.

[120] Krizenoskas Aff. ¶ 19.

[121] Second Compliance Order, 195 FERC ¶ 61,031 at P 145.

[122] Third Compliance Filing at 18.

[123] *Id*. at 18-19.

[124] *Id*. at 19.

3. Commission Determination

69. We find that PJM's proposed terms and definitions for "affected system network upgrades," "affected system facilities study," "affected system facilities study deposit," "affected system impact study," "affected system impact study deposit," "affected system impact study report," "affected system facilities study report," "affected system queue position," "affected system customer facilities study application and agreement," and, "affected system customer impact study agreement" in Tariff section 400 comply with the directives in the Second Compliance Order and accomplish the purpose of Order Nos. 2023 and 2023-A. Specifically, PJM's proposed terms and definitions do not alter the meaning of the *pro forma* LGIP terms and definitions and provide additional clarity by enumerating the affected system transmission provider's responsibilities in the affected system study process.[125] We also find that proposed terms "affected system impact study deposit" and "affected system facilities study deposit" are just and reasonable and not unduly discriminatory or preferential and accomplish the purposes of Order Nos. 2023 and 2023-A because, in light of the Commission's acceptance of the $30,000 affected system impact study deposit, these terms clarify the affected system interconnection customer's obligation to provide study deposits.[126]

70. We find that PJM's proposed revision to Tariff section 434(B)(2), which states "Transmission Provider estimates that the Affected System Impact Study will require approximately 120 days after Transmission Provider receives all Affected System Customer's technical information and will cost approximately $30,000," is just and reasonable and not unduly discriminatory or preferential and accomplishes the purposes of Order Nos. 2023 and 2023-A.[127] As PJM acknowledges, estimates of costs and schedules tend not to change over time.[128] Accordingly, we grant PJM's independent entity variation request because PJM's proposed language in Tariff section 434(B)(2) ensures that the affected system study process leads to timely affected system study results that provide greater cost certainty while still providing affected system interconnection customers with a non-binding good faith estimate of the approximate cost and schedule to complete the affected system study.[129]

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[125] Order No. 2023, 184 FERC ¶ 61,054 at P 1112.

[126] *Id.* P 1136.

[127] *See* Second Compliance Order, 195 FERC ¶ 61,031 at P 133 n.266.

[128] Krizenoskas Aff. ¶¶ 17-18.

[129] Order No. 2023, 184 FERC ¶ 61,054 at P 1121.

71. We find that PJM's proposed language in Tariff section 434(B)(3)(b) that establishes a 15-business day period for affected system interconnection customers to cure any deficiencies in their affected system interconnection study agreements or face the loss of their affected system queue position is just and reasonable and not unduly discriminatory or preferential and accomplishes the purposes of Order Nos. 2023 and 2023-A because it provides an additional five business days over the Commission's *pro forma* LGIP for affected system interconnection customers to cure any deficiencies, which provides flexibility for affected system interconnection customers and will still result in timely completion of the affected system impact study.[130]

72. Related to PJM's proposed language in Tariff section 434(B)(3)(b) that establishes a 15-business day deficiency cure period, we find that PJM's proposed language in Tariff section 434(B)(3)(b), which provides a definitive timeline within the affected system process when all inputs, deposits, and agreements are in place to allow PJM to move forward with studies, is just and reasonable and not unduly discriminatory or preferential and accomplishes the purposes of Order Nos. 2023 and 2023-A because PJM's proposed language ensures that the affected system study process moves along expediently, providing clarity, cost certainty, and increased transparency.[131] Similarly, we find that PJM's proposal to commence studies after all deposits are in place is just and reasonable and not unduly discriminatory or preferential and accomplishes the purposes of Order Nos. 2023 and 2023-A because it will improve administrative efficiency in the affected system study process, thereby promoting overall efficiency in the interconnection process.[132]

73. We find that PJM's proposed revisions in Tariff section 434(B)(5)(a) to remove the reference to the PJM Manuals for affected system study parameter details and withdraw its independent entity variation request complies with the Commission's directive in the Second Compliance Order.[133]

74. We find that PJM's proposed 180-day period for affected system facilities studies is just and reasonable and not unduly discriminatory or preferential and accomplishes the purposes of Order Nos. 2023 and 2023-A. As PJM explains, its 180-day affected system facility study timeframe is necessary to ensure that transmission owners have sufficient

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[130] *Id.* P 1158.

[131] *Id*. P 1110.

[132] *Id.* P 1133.

[133] *See* Second Compliance Order, 195 FERC ¶ 61,031 at P 139.

time to develop accurate and reliable scope, cost, and schedule estimates.[134] Relatedly, PJM states that the 120-day affected system impact study period enables the affected system transmission provider to issue results to affected system interconnection customers with no identified affected system impacts significantly earlier than would be possible under a 150-day combined study window. PJM states that early issuance of "no-impact" determinations reduces unnecessary delay, improves queue processing efficiency, and supports timely development of projects that do not require further analysis.[135] PJM cautions that a compressed or combined study period would risk producing incomplete or lower-quality estimates, thereby undermining the affected system interconnection customer's ability to make informed commercial decisions.[136] We find PJM's explanation persuasive. Accordingly, we find that PJM's proposed 180-day affected system facility study timeframe and 120-day affected system impact study period accomplish the purposes of the affected systems study process reforms in Order Nos. 2023 and 2023-A by helping to ensure that the affected system study process moves along expediently while providing greater clarity, cost certainty, and transparency to affected system interconnection customers throughout the study process.[137]

75. We reject PJM's requested independent entity variation to omit the *pro forma* LGIP requirement to meet with the affected system interconnection customer to discuss the results of the affected system study. While PJM asserts that, given the volume of affected system studies that PJM undertakes, a requirement to meet with each individual affected system interconnection customer would be administratively burdensome and would delay the processing of other studies,[138] we reiterate that the suite of affected system study reforms the Commission adopted in Order Nos. 2023 and 2023-A were intended to ensure that the affected system study process moves along expediently with increased transparency and that while certain steps may increase the need for communication and coordination between affected system transmission providers and interconnection customers, the potential burden of those steps are outweighed by the efficiencies of a standardized, predictable affected system study process.[139] Further, while we note that PJM acknowledges it will hold meetings with affected system

[134] Krizenoskas Aff. ¶ 11.

[135] *Id.* ¶ 10.

[136] *Id.*

[137] Order No. 2023, 184 FERC ¶ 61,054 at P 1110; *see also N.Y. Indep. Sys. Operator, Inc.*, 193 FERC ¶ 61,031, at P 104 (2025).

[138] Third Compliance Filing at 17-18.

[139] Order No. 2023, 184 FERC ¶ 61,054 at PP 1110-1111.

customers when deemed more effective and efficient, Order No. 2023 explains that such a meeting between the affected system transmission provider and affected system interconnection customer will facilitate transparency and meaningful communication in the affected system study process.[140] Accordingly, we direct PJM to submit within 60 days of the date of this order a further compliance filing to adopt the requirements of *pro forma* LGIP section 9.8.

76. We find that PJM's proposal to omit the requirement of the *pro forma* LGIP section 11.2.1 to allow, at the interconnection customer's request, a delay in the deadline for the interconnection customer to finalize its LGIA or request that its LGIA be filed unexecuted to await an affected system study report is just and reasonable and not unduly discriminatory or preferential and accomplishes the purposes of Order Nos. 2023 and 2023-A. As PJM explains, it processes all final agreements in a lock-step approach such that delays in a Cycle would cascade into later Cycles. Because a delay in execution of a GIA by an interconnection customer would cause cascading effects on interconnection customers in other Cycles in PJM, we find that PJM's proposal to omit the requirement of *pro forma* LGIP section 11.2.1 from its Tariff is just and reasonable. Accordingly, we grant PJM's independent entity variation request because PJM's proposed omission ensures that the affected system study process moves along expediently, providing clarity, cost certainty, and increased transparency.[141]

77. We find that PJM's requested independent entity variation in Tariff section 434(A)(3) to require PJM's interconnection customers in the Cycle process to demonstrate to PJM that the interconnection customer continues to meet the requirements of the affected system operator's process, such as providing evidence of a fully executed affected systems study agreement no later than the conclusion of Decision Point II, is just and reasonable and not unduly discriminatory or preferential and accomplishes the purposes of Order Nos. 2023 and 2023-A. As PJM notes, requiring interconnection customers in the Cycle process to enter into affected system agreements with affected system operators prior to the end of Decision Point II will ensure that all projects under study in the Cycle process, including those owned by affected system interconnection customers, are meeting all their requirements in advance.[142] Accordingly, we grant PJM's independent entity variation request because PJM's revised Tariff section 434(A)(3) ensures that the Cycle process moves along expediently, and accomplishes the purposes of Order Nos. 2023 and 2023-A to require that the interconnection customer

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[140] *Id.* P 1169.

[141] *Id.* P 1110; *see also N.Y. Indep. Sys. Operator, Inc.*, 191 FERC ¶ 61,049, at P 283 (2025).

[142] Krizenoskas Aff. ¶ 16.

demonstrate meaningful progress towards achieving commercial viability and allow transmission providers to focus on processing viable interconnection requests.[143]

F. Affected System *Pro Forma* Agreements

78. In Order No. 2023, the Commission adopted several *pro forma* agreements to improve the efficiency and transparency of the interactions among the parties during the affected system study process. The Commission first adopted a *pro forma* affected system study agreement in new Appendix 9 (Two-Party Affected System Study Agreement) of the *pro forma* LGIP and a *pro forma* multiparty affected system study agreement in new Appendix 10 (Multiparty Affected System Study Agreement) of the *pro forma* LGIP.[144] These *pro forma* affected system study agreements stipulate how to study the impact of interconnecting generating facilities on an affected system to identify network upgrades needed to accommodate the interconnection request.

1. Second Compliance Order

79. In the Second Compliance Order, the Commission found that PJM's proposed *pro forma* Affected System Customer Impact Study Agreement did not include the information that the affected system transmission provider will provide to the affected system interconnection customer in a study report upon completion of the affected system study as set forth in Article 5 of appendices 9 and 10 to the *pro forma* LGIP.[145] Accordingly, the Commission directed PJM to submit a compliance filing to incorporate in its Tariff the information set forth in Article 5 of appendices 9 and 10 to the *pro forma* LGIP or justify its proposal under the independent entity variation standard.

2. Third Compliance Filing

80. PJM states it has revised its *pro forma* Affected System Customer Impact Study Agreement to include the required information as set forth in Article 5 of appendices 9 and 10 of the *pro forma* LGIP.[146] PJM's proposed revisions provide that "The [Affected

[143] Order No. 2023, 184 FERC ¶ 61,054 at P 490.

[144] Order No. 2023, 184 FERC ¶ 61,054 at PP 1171, 1232; *see also pro forma* LGIP, apps. 9, 10.

[145] Second Compliance Order, 195 FERC ¶ 61,031 at P 159.

[146] Third Compliance Filing at 19.

System Customer] Impact Study will provide one or more of the following" and includes the list of information in Article 5 of appendices 9 and 10 of the *pro forma* LGIP.[147]

3. Commission Determination

81. We find PJM's proposed revisions to its *pro forma* Affected System Customer Impact Study Agreement comply with the directives in the Second Compliance Order and the requirements of Order Nos. 2023 and 2023-A because PJM includes the required information set forth in Article 5 of appendices 9 and 10 to the *pro forma* LGIP.

G. Co-Located Generating Facilities

82. In Order No. 2023, the Commission revised *pro forma* LGIP section 3.1.2 to require transmission providers to allow more than one generating facility to co-locate on a shared site behind a single point of interconnection and share a single interconnection request.[148] The Commission clarified that interconnection customers have the choice to structure their interconnection requests for co-located generating facilities according to their preference (i.e., as separate interconnection requests or as a shared interconnection request) and that Order No. 2023 does not require interconnection customers to share a single interconnection request for multiple generating facilities located on the same site.[149] The Commission also clarified that co-located generating facilities can be owned by a single interconnection customer with multiple generating facilities sharing a site, or by multiple interconnection customers that have a contract or other agreement that allows for shared land use.[150]

1. Second Compliance Order

83. In the Second Compliance Order, the Commission found several of PJM's proposals to be outside the scope of its Order Nos. 2023 and 2023-A compliance proceeding.[151] Accordingly, the Commission directed PJM to submit a further compliance filing to remove from its Tariff the proposed requirement to submit documentation with the interconnection request detailing the shared facility

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[147] PJM Tariff, pt. IX, subpt. O, § 10.1 (0.10).

[148] Order No. 2023, 184 FERC ¶ 61,054 at P 1346; *see also pro forma* LGIP § 3.1.2.

[149] Order No. 2023, 184 FERC ¶ 61,054 at PP 1351-1352.

[150] *Id.* P 1355.

[151] Second Compliance Order, 195 FERC ¶ 61,031 at P 170.

configurations, ownership arrangements, and division of rights and responsibilities with respect to operations, maintenance, and repair, and proposed Schedule N of PJM's *pro forma* GIA for shared interconnection customer interconnection facilities.

2. Third Compliance Filing

84. PJM proposes revisions to Tariff section 403, its *pro forma* Application and Studies Agreement, and its *pro forma* GIA to remove the provisions concerning multiple generating facilities behind the same point of interconnection that the Commission found to be outside the scope of this compliance proceeding, including Schedule N of PJM's *pro forma* GIA, which established terms and conditions governing the ownership, control, and use of shared project developer interconnection facilities, and to remove Tariff provisions requiring a project developer to submit documentation concerning shared facilities arrangements in its Application.[152]

3. Commission Determination

85. We find that PJM's proposed revisions concerning multiple generating facilities behind the same point of interconnection comply with the Commission's directive in the Second Compliance Order because PJM has removed the provisions that the Commission found to be outside the scope of this compliance proceeding in the Second Compliance Order.

H. Operating Assumptions for Interconnection Studies

86. In Order No. 2023, the Commission revised sections 3.1.2, 3.2.1.2 (The Study), 3.2.2.2 (The Study), 3.3.1, 3.4.2, 4.4.3, 7.3, 8.2 (Scope of Interconnection Facilities Study), and Appendix 1 (Interconnection Request for a Large Generating Facility) of the *pro forma* LGIP and article 17.2 (Violation of Operating Assumptions for Generating Facilities) and Appendix H (Operating Assumptions for Generating Facility) of the *pro forma* LGIA to require transmission providers, at the request of the interconnection customer, to use operating assumptions in interconnection studies that reflect the proposed charging behavior of electric storage resources (whether standalone, co-located generating facilities, or part of a hybrid generating facility)—i.e., whether the interconnecting generating facility will or will not charge during peak load conditions—unless good utility practice, including applicable reliability standards, otherwise requires the use of different operating assumptions.[153] The Commission also added article 17.2 to

[152] Third Compliance Filing at 21.

[153] Order No. 2023, 184 FERC ¶ 61,054 at P 1509; *see also pro forma* LGIP §§ 3.1.2, 3.2.1.2, 3.2.2.2, 3.3.1, 3.4.2, 4.4.3, 7.3, 8.2, app.1; *pro forma* LGIA art. 17.2, app. H.

the *pro forma* LGIA to describe a violation of operating assumptions and Appendix H to the *pro forma* LGIA as the location for the interconnection customer to memorialize its operating assumptions.[154]

1. Second Compliance Order

87. In the Second Compliance Order, the Commission directed PJM to submit a further compliance filing revising its Tariff to incorporate provisions consistent with the Commission's *pro forma* LGIA article 17.2 and Appendix H, as adopted in Order Nos. 2023 and 2023-A, or otherwise justify its proposed variations under the independent entity variation standard.[155]

2. Third Compliance Filing

88. PJM proposes revisions to its *pro forma* GIA, Appendix 2, section 4.6.2.4.1 and Schedule I to incorporate provisions concerning operating assumptions for electric storage resources. Specifically, PJM proposes to add section 4.6.2.4.1 to its *pro forma* GIA to incorporate the provisions of article 17.2 of the Commission's *pro forma* LGIA and to revise Schedule I of its *pro forma* GIA to incorporate the provisions of Appendix H of the Commission's *pro forma* LGIA, with minor modifications to conform to PJM's terminology, to memorialize the operating assumptions for the charging behavior under which the electric storage resource was studied.[156] Specifically, PJM's proposed Tariff revisions provide that PJM may consider an interconnection customer to be in breach of its GIA for operating against the charging assumptions under which its electric storage resource was studied, unless operating contrary to those assumptions at PJM's direction.

3. Commission Determination

89. We find that PJM's proposed revisions concerning operating assumptions for interconnection studies comply with the requirements of Order Nos. 2023 and 2023-A and Commission's directive in the Second Compliance Order. Specifically, PJM proposes Tariff provisions that are consistent with article 17.2 and Appendix H of the Commission's *pro forma* LGIA by adding to its *pro forma* GIA, Appendix 2, section 4.6.2.4.1. Additionally, PJM revises its *pro forma* GIA, Schedule I to incorporate the provisions of Appendix H of the Commission's *pro forma* LGIA, which memorializes the

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[154] Order No. 2023, 184 FERC ¶ 61,054 at P 1521; *see also pro forma* LGIA art. 17.2, app. H.

[155] Second Compliance Order, 195 FERC ¶ 61,031 at P 182.

[156] Third Compliance Filing at 22.

operating assumptions for the charging behavior under which the electric storage resource was studied.

I. Incorporating the Enumerated Alternative Transmission Technologies

90. In Order No. 2023, the Commission revised *pro forma* LGIP section 7.3 to require transmission providers to evaluate the list of alternative transmission technologies enumerated in Order No. 2023 during the cluster study, including any restudies, of the generator interconnection process in all instances (i.e., for all interconnection customers in a cluster), without the need for a request from an interconnection customer.

1. Second Compliance Order

91. In the Second Compliance Order, the Commission directed PJM to submit a further compliance filing that requires PJM to study the enumerated list of alternative transmission technologies in its Phase I System Impact Study in addition to its Phases II and III System Impact Studies, or justify its proposal under the independent entity variation standard.[157]

2. Third Compliance Filing

92. PJM proposes revisions to Tariff sections 403, 405, 407, and 409 to provide that PJM will study the alternative transmission technologies in Phases I, II, and III, when the interconnection customer provides the necessary technical information regarding the alternative technologies to be studied in its Application and at Decision Point I, if applicable.[158]

3. Commission Determination

93. We find that PJM's proposed revisions in Tariff sections 403, 405, 407, and 409 relating to the evaluation of the enumerated alternative transmission technologies complies with the directive in the Second Compliance Order because PJM's revision provides that it will also evaluate the enumerated alternative transmission technologies during the Phase I System Impact Study of its cluster study process.[159]

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[157] Second Compliance Order, 195 FERC ¶ 61,031 at P 191.

[158] Third Compliance Filing at 24; PJM Tariff, pt. VIII, subpt. B, § 403 (2.1.0); *id.* subpt. C, § 405 (1.1.0); *id.* § 407 (2.1.0); *id.* § 409 (2.1.0).

[159] Second Compliance Order, 195 FERC ¶ 61,031 at P 190; *see also Midcontinent Indep. Sys. Operator, Inc.*, 191 FERC ¶ 61,229, at PP 322-323 (2025).

J. Effective Date

94. In Order No. 2023, the Commission stated that the requirements in transmission providers' tariffs will not be effective until the Commission-approved effective date of the transmission provider's filing in compliance with the final rule.[160] In Order No. 2023-A, the Commission clarified that "transmission providers may propose effective dates in their compliance filings that align with their existing queue processing dates, such as the start of a new processing window. We will consider these requests on a case-by-case basis in each individual compliance filing."[161]

1. Second Compliance Order

95. In the Second Compliance Order, the Commission accepted in part and rejected in part PJM's proposal with respect to the requested effective date. The Commission accepted PJM's proposal for the Tariff revisions in the Second Compliance Filing to become effective at the commencement of the next Cycle after the issuance of the Second Compliance Order.[162] However, the Commission rejected PJM's proposal requesting a later effective date for the Tariff revisions in PJM's Tariff to remove the term "reasonable efforts" and in section 438 of PJM's Tariff regarding study delay penalties, and accepted all of PJM's proposed Tariff revisions to become effective at the same date.[163] The Commission directed PJM to make a further compliance filing no more than 120 days and no less than 60 days before the proposed effective date to establish the effective date of the Tariff revisions, as PJM proposed to do.[164]

2. Third Compliance Filing

96. PJM files the Tariff records in compliance with the Second Compliance Order with an indefinite effective date and states that it will make a filing no earlier than 120 days before and no later than 60 days before the commencement of Cycle No. 3 in mid-2027 to establish the effective date for these compliance revisions to the Tariff.[165]

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[160] Order No. 2023, 184 FERC ¶ 61,054 at P 1769.

[161] Order No. 2023-A, 186 FERC ¶ 61,199 at P 669.

[162] Second Compliance Order, 195 FERC ¶ 61,031 at P 210.

[163] *Id.* PP 211-212.

[164] *Id.* P 213.

[165] Third Compliance Filing at 26.

3. Commission Determination

97. We accept PJM's proposal for the effective date of the proposed Tariff revisions to become effective at the commencement of Cycle No. 3. We direct PJM to make a further compliance filing in this docket no more than 120 days and no less than 60 days before the proposed effective date, as PJM proposes to do. Specifically, PJM is required to make a further compliance filing in this docket through the Commission's eTariff system with the accepted tariff record text that establishes the actual effective date of the Tariff records as the date of the commencement of the next Cycle after the issuance of this order and designates the records accepted in this order as OBE (overtaken by events).[166]

The Commission orders:

(A) PJM's Third Compliance Filing is hereby accepted in part and rejected in part, effective as requested, subject to a further compliance filing, as discussed in the body of this order.

(B) PJM is hereby directed to submit a compliance filing that addresses the directives in this order within 60 days of the date of this order, as discussed in the body of this order.

(C) PJM is directed to make a compliance filing to establish the effective date of the tariff records as discussed in the body of the order.

By the Commission.

(S E A L)

Debbie-Anne A. Reese,
Secretary.

[166] PJM must make a compliance filing using Type of Filing Code 80 in this docket by including the associated filing identifier (associated_filing_id) for this filing at the filing level. The filing must include tariff records with the effective date for the previously accepted tariff records and also include, at the tariff record level, the associated filing identifier (associated_filing_id), associated record id (associated_record_id), and associated option code (associated_option_code) of the original tariff records accepted with a 12/31/9998 date.

Appendix – Tariff Records

PJM Interconnection, L.L.C.
Intra-PJM Tariffs

Tariff Records Accepted Effective December 31, 9998:

- 400 S, OATT 400 Definitions S (4.1.0)
- 403, OATT Part VIII.B 403 Application Rules (2.1.0)
- 404, OATT Part VIII.C 404 Introduction (2.1.0)
- 405, OATT Part VIII.C 405 Phase I (1.1.0)
- 407, OATT Part VIII.C 407 Phase II (2.1.0)
- 409, OATT Part VIII.C 409 Phase III (2.1.0)
- 434, OATT Part VIII.G 434 Affected System Rules (4.1.0)
- 438, OATT Part VIII.K 438 Penalties for Failure to Meet Study Dea (0.1.0)
- IX Subpart A, OATT Part IX Subpart A FORM OF APPLICATION AND STUDIES AGRMT (3.1.0)
- IX.B GIA, OATT Part IX.B GIA (4.1.0)
- IX.B GIA Specs, OATT Part IX.B GIA Specs (3.1.0)
- IX.B GIA Appx-Sched, OATT Part IX.B GIA Appendices and Schedules (3.1.0)
- IX.B GIA Appx 2 Sec 4, OATT Part IX.B GIA Appx 2 Section 4 (2.0.0)
- IX.B GIA Schedule H, OATT Part IX.B GIA Schedule H (1.1.0)
- IX.B GIA Schedule I, OATT Part IX.B GIA Schedule I (2.0.0)
- IX.C WMPA Schedules A-F, OATT Part IX.C WMPA Schedules A-F (1.1.0)
- IX Subpart O, OATT IX Subpart O Form of Affected System Customer Impact S (0.1.0)